TEACHER GUIDE

SQA National 5 Business Management (C810 75)

Motivation

Management of people
Motivating and retaining



A revision lesson. Pupils run a car dealership in firms of four and revise motivation on their own deals. Seat each firm together. Each firm answers the topic tasks together.

The lesson

45-minute setting

Setup	Round 1	Round 2	Round 3	Final questions

EVERY ROUND

Firm decisions
3 min

→

Deals
4½–5 min

→

Topic tasks
4 min

→

B2B deal
2½ min
from Round 2

LESSON SETTINGS

30 min	45 min	60 min	75 min

What pupils do

Every pupil buys and sells cars. In Firm decisions, each role has its own job.



CEO

Staff · Sabotage from Round 2



Finance

Capital & Loans · Investments



Sales & Marketing

Marketing



Operations

Seasonal stock

Topic tasks

Each firm gets its own figures. The method is the same. Your Live screen shows each task and every firm's answer.

1 Pay per car sold

Round 1

Your sales staff earn the same whatever they sell. Sales are flat.

Which financial method pays for each car sold?

- **A** A yearly bonus
- **B** A higher salary
- **C** Commission
- **D** Fringe benefits

ANSWER

✓ **Commission**

Why: Commission is a share of each sale, so pay follows selling.

2 Non-financial ways

Round 1

You cannot afford pay rises this year.

Which two are non-financial ways to motivate?

- **A** Commission on each sale
- **B** More responsibility at work
- **C** A staff discount on cars
- **D** Praise and awards for good work
- **E** A bonus for hitting targets

ANSWER

✓ **More responsibility at work**
✓ **Praise and awards for good work**

Why: Praise and responsibility cost little; the other three are money or benefits.

3 Rank pay this month

Round 2

A salesperson sells 7 cars worth £60,000 this month. Three ways to pay her.

Order by pay this month, highest first?

- **A** £1,200 plus £150 a car
- **B** £2,300 salary, no commission
- **C** £1,800 plus 1% of sales

ANSWER

1. **£1,800 plus 1% of sales**
2. **£2,300 salary, no commission**
3. **£1,200 plus £150 a car**

Why: £2,400, £2,300 and £2,250.

Topic tasks

4 Pay with commission

Round 2

Basic pay plus commission on sales.

Her pay this month?

Basic pay this month	**£1,800**
Her car sales this month	**£85,000**
Commission on her sales	**1%**

ANSWER

£2,650

£1,800 + 1% × £85,000 = £2,650

Why: Commission rises with each sale, so her pay follows her selling.

5 Pay rise or variety

Round 3

Staff say their pay is fair, but the work is the same every day.

Which change should you make, and why?

A A 3% pay rise for all

B More varied, responsible work

ANSWER

✓ More varied, responsible work

Why: Pay is not the problem; varied work with responsibility tackles dull jobs.

6 Commission effects

Round 3

You move sales staff to commission only. Sales rise, but complaints from buyers double.

What best explains this?

A Staff have less work to do

B The firm has fewer staff

C Staff push buyers to buy fast

D Staff now earn less each month

ANSWER

✓ Staff push buyers to buy fast

Why: Pay now depends on each sale, so some staff push buyers too hard.

Final questions

Each pupil answers 6 final questions on motivation. They come from these 8 questions.

Then each pupil writes one short answer: “Explain why commission might motivate a salesperson.”

1. Which action is a non-financial method of motivating employees?
   ✔ **Giving technicians more responsibility and recognition for good work**

2. A valeting firm pays workers for each vehicle completed. What is a possible disadvantage?
   ✔ **Workers may rush, reducing service quality**

3. A dealer pays sales staff a basic wage plus commission on each car sold. Which type of motivation is commission?
   ✔ **A financial method**

4. Which is a non-financial way to motivate workshop staff?
   ✔ **Praise and recognition for good work**

5. A salesperson earns £1,400 a month plus 2% commission on sales. In a month with £60,000 of sales, what is the total pay?
   ✔ **£2,600**

6. Why does a dealership want well-motivated staff?
   ✔ **They work harder and are less likely to leave**

7. Valeters swap between washing, polishing and checking cars each day. What is this method called?
   ✔ **Job rotation**

8. At the end of a good year a dealer gives every employee a share of the profit. What is the main aim?
   ✔ **To make staff care about the whole firm doing well**